



OSMANIA UNIVERSITY

LL.B. (3-YDC)

Semester I

Complete Exam Notes

For **LL.B. (General)** and **LL.B. (Honours)** students

Full syllabus · Simple English · Latest cases · Questions with answers

PAPERS IN THIS BOOK

Paper I	Law of Contract-I
Paper II	Family Law-I (Hindu Law)
Paper III	Constitutional Law-I
Paper IV	Law of Torts, Motor Vehicle Accidents and Consumer Protection
Paper V	Environmental Law
Paper VI	Legal and Constitutional History of India

INSIDE EVERY PAPER

- ◆ **Whole syllabus**, unit by unit, topic by topic
- ◆ Written in **simple, plain English** with tables
- ◆ **Sections and leading cases** for every topic
- ◆ **Latest cases** and recent amendments as examples
- ◆ **Points to remember** after every unit
- ◆ **Quick revision tables** for the last day
- ◆ **Short answers, essay guides and solved problems** in the exam pattern

About This Book

This book contains complete exam notes for **Semester I** of the **LL.B. (3-YDC)** course of **Osmania University**. All the papers of the semester are bound together in one book, with one set of page numbers.

Who Can Use This Book

Course	How to use it
LL.B. (Honours)	Follows the LL.B. (Hons) scheme of the semester – every paper, in the same order as the syllabus.
LL.B. (General)	The subjects that are common to the General course are covered by the same notes. Please match the units with your own syllabus copy; extra Honours topics can be skipped.

What Every Paper Contains

1. **Unit-wise notes** – every topic in the syllabus, in the same order as the syllabus.
2. **Simple, plain English** – short sentences, tables and easy rules.
3. **Sections and leading cases** – with the **latest cases and amendments** as examples.
4. **Points to remember** at the end of each unit.
5. **Quick revision tables** – sections, comparisons and recent cases for the last day.
6. **Questions and answers** – short answers, essay answer guides and solved problems in the exam pattern.

How to Use This Book for the Exam

1. Read each unit once fully. Mark the sections and the case names.
2. Learn the **Points to Remember** – they are ready-made short answers.
3. Practise the **essay answer guides** by writing each answer in your own words.
4. Solve the **problem questions** in the order: Facts – Issue – Law – Application – Conclusion.
5. On the day before the exam, read only the **Quick Revision** tables.

Please Note

This book is an **independent study aid**. It is not an official publication of Osmania University. The questions are **model questions** framed on the syllabus and the usual exam pattern. The law changes often – please check **recent amendments and recent cases** with the bare Act or an official source before quoting them. The book is for study purposes only and is not legal advice.

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PAPER I

Law of Contract-I

OSMANIA UNIVERSITY

LL.B. (3-YDC)

SEMESTER I

IN THIS PAPER

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- ◆ Unit-II: Capacity, Free Consent and Lawful Object
- ◆ Unit-III: Discharge of Contracts
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Unit-I: Formation of Contract

Definition and Essentials of a Valid Contract

1. Meaning

A **contract** is an **agreement enforceable by law** – **Section 2(h)**, Indian Contract Act, 1872.

In simple words: when two persons make a promise to each other, and the law will force them to keep that promise, it is a contract.

Formula to remember:

Offer + Acceptance = Agreement

Agreement + Enforceability by law = Contract

2. Agreement – Section 2(e)

"Every promise and every set of promises forming consideration for each other" is an agreement.

Easy rule: All contracts are agreements, but all agreements are not contracts.

Example: A promises to sell his bike to B for ₹50,000 and B agrees → this is an agreement and also a contract, because the law will enforce it.

A invites B for dinner and B agrees → this is only a social agreement, not a contract.

3. Essentials of a Valid Contract (Section 10)

Section 10 says: all agreements are contracts if they are made by the **free consent** of parties **competent to contract**, for a **lawful consideration** and with a **lawful object**, and are not expressly declared to be void.

1. **Offer and acceptance** – one person makes a proposal and the other accepts it.
2. **Intention to create legal relations** – parties must intend that the promise will have legal consequences. Family and social arrangements are usually not contracts.
3. **Free consent (Ss. 13-14)** – consent must not be caused by coercion, undue influence, fraud, misrepresentation or mistake.
4. **Capacity of parties (S. 11)** – parties must be major (18 years), of sound mind and not disqualified by law.
5. **Lawful consideration** – something in return (price, act or promise) which is lawful.
6. **Lawful object (S. 23)** – the purpose must not be illegal, immoral or against public policy.
7. **Not expressly declared void (Ss. 24-30, 56)** – e.g., wagering agreements are void.
8. **Certainty (S. 29)** – terms must be clear.
9. **Possibility of performance (S. 56)** – an impossible act cannot be the subject of a contract.
10. **Legal formalities** – where a law requires writing, registration or stamping, it must be followed (e.g., sale of land must be registered).

4. Kinds of Contracts

Kind	Meaning	Example
Valid contract	Has all essentials; enforceable	Buying a phone on Amazon
Void agreement – S. 2(g)	Not enforceable from the start	Agreement with a minor
Voidable contract – S. 2(i)	Enforceable at the option of one party	Contract signed at gunpoint
Void contract – S. 2(j)	Valid at first, becomes unenforceable later	Contract to import goods later banned
Illegal agreement	Object forbidden by law; collateral deals also void	Agreement to smuggle gold
Express / Implied (S. 9)	Made by words / by conduct	Getting into an auto-rickshaw = implied contract
Executed / Executory	Fully performed / yet to be performed	Cash sale / advance booking
E-contract	Formed online (IT Act, 2000, S. 10A)	Clicking "I agree" on Swiggy or Zomato

5. Intention to Create Legal Relations

Social and domestic agreements are presumed **not** to create legal obligations. Business agreements are presumed to create them.

Balfour v Balfour (1919)

A husband working in Ceylon promised his wife £30 a month. When he stopped paying, she sued. The court held it was a **domestic arrangement**, not a contract.

Latest example: A Netflix or Spotify subscription taken by clicking "Subscribe" is a commercial contract. Both parties intend legal consequences – you pay, they provide the service.

6. Important Case Law

Mohori Bibee v Dharmodas Ghose (1903)

A contract with a minor is void from the beginning. This shows that capacity is an essential element of a valid contract.

Definition and Essentials of a Valid Offer

1. Meaning – Section 2(a)

A person makes a **proposal (offer)** when he signifies to another his willingness to do or not to do something, with a view to obtaining the other person's assent.

The person who makes the offer is the **offeror (promisor)**. The person to whom it is made is the **offeree (promisee)**.

2. Essentials of a Valid Offer

- **Intention to create legal relations** – a joke or a social invitation is not an offer.
- **Definite and certain terms** – "I will sell my car at a reasonable price" is uncertain.
- **Must be communicated** – an offer is complete only when it comes to the knowledge of the offeree (S. 4).
- **May be express or implied** – by words or by conduct (S. 9).
- **May be specific or general** – made to one person or to the whole world.
- **Must not contain a term that silence will be acceptance** – the offeror cannot say "If I don't hear from you, I will take it as accepted".
- **Offer is different from an invitation to offer.**

3. Kinds of Offer

Kind	Meaning	Example
Specific offer	Made to a particular person	A offers to sell his bike to B
General offer	Made to the public at large; anyone who performs the conditions accepts it	Reward for finding a lost dog
Cross offers	Two identical offers cross each other in post; no contract	A and B both write offering the same deal
Counter offer	Offeree changes terms; the original offer ends	"I will buy for ₹40,000, not ₹50,000"
Standing / continuing offer	Open for a period; each order creates a contract	Tender to supply goods "as and when required"

4. Offer vs Invitation to Offer

An **invitation to offer** only invites people to make offers. It is not itself an offer.

Examples of invitation to offer: price lists, catalogues, goods displayed in a shop, advertisements for auction, tender notices, a prospectus, food menus on Zomato.

Easy difference: Offer = ready to be bound if accepted. Invitation to offer = "Come and make me an offer."

Example: A shirt on display in a mall with a ₹999 tag is an invitation. When you take it to the billing counter, **you** make the offer. The shop accepts when it bills you.

5. Important Case Law

Carlill v Carbolic Smoke Ball Co. (1893)

The company advertised a £100 reward to anyone who caught flu after using its smoke ball. Mrs Carlill used it and caught flu. Held: it was a **general offer**; she accepted it by performing the condition. Separate communication of acceptance was not needed.

Lalman Shukla v Gauri Dutt (1913)

A servant found the missing boy without knowing about the reward. He could not claim the reward because **there cannot be acceptance without knowledge of the offer**.

Pharmaceutical Society of Great Britain v Boots Cash Chemists (1953)

Goods on shelves in a self-service shop are only an **invitation to offer**. The customer makes the offer at the cash counter.

Harvey v Facey (1893)

Stating the lowest price ("Lowest price £900") is only information, not an offer.

Hyde v Wrench (1840)

A counter offer kills the original offer. The offeree cannot later accept the original offer.

Definition and Essentials of a Valid Acceptance

1. Meaning – Section 2(b)

When the person to whom the proposal is made signifies his assent to it, the proposal is said to be **accepted**. An accepted proposal becomes a **promise**.

2. Essentials of a Valid Acceptance (Section 7)

1. **Absolute and unqualified** – acceptance must match the offer exactly (mirror-image rule). Any change is a counter offer.
2. **Expressed in the usual and reasonable manner** – or in the manner prescribed by the offeror.
3. **Must be communicated to the offeror** – a decision kept in the mind is not acceptance.
4. **By the offeree only** – a stranger cannot accept (*Boulton v Jones*, 1857).
5. **Within the time fixed or a reasonable time** – S. 6.
6. **While the offer is still alive** – before it lapses or is revoked.
7. **Silence is not acceptance** (*Felthouse v Bindley*, 1862).
8. **Acceptance of a general offer can be by performing its conditions** – S. 8.

3. "Acceptance is to an offer what a lighted match is to a train of gunpowder"

This famous line by **Anson** means: once acceptance is given, the offer turns into a contract **immediately**, just as a lighted match immediately fires gunpowder. After that, the offer cannot be withdrawn.

In India, the line is only partly true, because under **S. 5** an acceptance can be revoked before it reaches the offeror (see Revocation below).

4. Important Case Law

Felthouse v Bindley (1862)

An uncle wrote to his nephew: "If I hear no more, I will consider the horse mine." The nephew stayed silent. Held: **silence is not acceptance**; no contract.

Broden v Metropolitan Railway (1877)

Acceptance can be shown by **conduct**. The parties had acted on an unsigned draft agreement, so a contract existed.

Bhagwandas Goverdhandas Kedia v Girdharilal Parshottamdas (1966, SC)

In telephone contracts, the contract is made where the acceptance is **heard** by the offeror. This decides which court has jurisdiction.

Communication of Offer and Acceptance

1. Section 4 – When is Communication Complete?

Communication of	Complete as against the proposer	Complete as against the acceptor
Proposal	When it comes to the knowledge of the offeree	—
Acceptance	When it is put in the course of transmission (e.g., posted) so that it is out of the acceptor's power	When it comes to the knowledge of the proposer

Example: A (Hyderabad) offers by post to sell his house to B (Chennai). B posts his acceptance on 1 March; it reaches A on 4 March.

→ The contract is binding on **A** from 1 March (when posted).

→ The contract is binding on **B** from 4 March (when it reaches A).

2. Instantaneous Communication

For **telephone, video call, e-mail, WhatsApp and online chat**, the acceptance is complete when it is **received** by the offeror.

Entores Ltd v Miles Far East Corporation (1955) – contract made where the acceptance is received.

Bhagwandas Kedia (1966) – followed in India.

3. Electronic Contracts – IT Act, 2000

- **S. 10A** – a contract formed through electronic means is **valid**; it cannot be denied only because it is electronic.
- **S. 11** – an electronic record is attributed to the originator if sent by him or by his agent or system.
- **S. 12** – acknowledgement of receipt.
- **S. 13** – time and place of despatch and receipt; the **place of business** of the sender and receiver is treated as the place of despatch and receipt.

Kinds of online contracts:

- **Click-wrap** – user clicks "I Agree" (e.g., installing an app, booking on IRCTC).
- **Browse-wrap** – terms are on a link; using the website means acceptance (weaker, because the user may not notice).
- **Shrink-wrap** – terms inside the software box; opening it means acceptance.

Trimex International FZE v Vedanta Aluminium Ltd (2010, SC)

A binding contract was formed through **exchange of e-mails** even though no formal agreement was signed.

Latest example: When you place an order on Flipkart and receive an order confirmation e-mail, a contract is formed. If you only get an "order received" message, it may only be an acknowledgement of your offer.

Revocation of Offer and Acceptance (including Electronic Medium)

1. Revocation of Offer – Section 5

An offer can be revoked **at any time before the communication of acceptance is complete as against the proposer**, but not afterwards.

2. Revocation of Acceptance – Section 5

An acceptance can be revoked **at any time before the communication of acceptance is complete as against the acceptor**, but not afterwards.

Example (Illustration to S. 5):

A posts an offer to B. B posts acceptance.

→ A may revoke his offer before B posts his letter.

→ B may revoke his acceptance before his letter reaches A (for example, by a faster e-mail or phone call).

3. Modes of Revocation / Lapse of Offer – Section 6

1. **By notice of revocation** from the proposer to the other party.
2. **By lapse of the time** prescribed, or a reasonable time if none is prescribed.
3. **By failure of the acceptor to fulfil a condition precedent** to acceptance.
4. **By the death or insanity of the proposer**, if the fact comes to the acceptor's knowledge before acceptance.

Also: **rejection** or **counter offer** by the offeree ends the offer.

4. Revocation in Electronic Medium

Because e-mail and online communication are almost instant, the time gap for revocation is very small. The time of receipt shown in the system (S. 13, IT Act) decides whether revocation reached before acceptance.

Example: Ashok e-mails at 10:00 am offering his plot for ₹20 lakh. Raghu replies "I accept" at 10:30 am. Ashok's revocation e-mail reaches Raghu at 10:45 am → too late. The contract is complete.

Easy rule: Revocation must **reach** the other party before the contract is complete. A revocation that is only written but not sent is no revocation.

Consideration – Meaning and Salient Features

1. Meaning – Section 2(d)

When, **at the desire of the promisor**, the promisee or any other person has done or abstained from doing, or does or abstains from doing, or promises to do or abstain from doing something, such act, abstinence or promise is called **consideration**.

In simple words: consideration is "**something in return**" – the price of the promise.

Example: A agrees to sell his laptop to B for ₹30,000. For A, the ₹30,000 is consideration; for B, the laptop is consideration.

2. Salient Features

1. **Must move at the desire of the promisor** – not at the desire of a third person.
2. **May move from the promisee or any other person** – in India, a stranger to consideration can sue.
3. **May be past, present or future.**
4. **Need not be adequate** – but must be real and have some value in law (Explanation 2 to S. 25). A low price does not make the contract void, but it may be evidence of fraud or undue influence.
5. **Must be real, not illusory** – e.g., a promise to do something impossible is not consideration.
6. **Must be lawful** – S. 23.
7. **Performing an existing legal duty is not consideration** – a police officer cannot claim a reward for doing his duty.

3. Important Case Law

Durga Prasad v Baldeo (1880)

Shops were built at the desire of the Collector, not the defendant. So there was **no consideration** for the defendant's promise to pay commission.

Chinnaya v Ramayya (1882)

An old lady gave property to her daughter, who promised to pay an annuity to the old lady's brother. Held: the brother could sue; **consideration can move from any other person**.

Easy difference: In India, a *stranger to consideration* can sue, but a *stranger to the contract* cannot.

Exceptions to "No Consideration, No Contract"

1. General Rule – Section 25

An agreement made without consideration is **void**. But Section 25 and other provisions give exceptions.

2. Exceptions

1. **Natural love and affection – S. 25(1):** the agreement must be (a) in writing, (b) registered, (c) made because of natural love and affection, (d) between parties standing in a near relation.

2. **Compensation for past voluntary service – S. 25(2):** a promise to compensate a person who has already voluntarily done something for the promisor.

Example: A finds B's lost purse and returns it. B promises A ₹1,000. This promise is enforceable.

3. **Promise to pay a time-barred debt – S. 25(3):** must be in writing and signed.

4. **Completed gift – Explanation 1 to S. 25:** a gift actually made is valid without consideration.

5. **Agency – S. 185:** no consideration is needed to create an agency.

6. **Charitable subscription:** where the promisee has acted on the promise (e.g., started building a hall).

3. Important Case Law

Rajlukhy Dabee v Bhootnath Mookerjee (1900)

A husband promised in a registered deed to pay maintenance to his wife after quarrels. Held: there was **no natural love and affection**, so the agreement was void.

Kedarnath Bhattacharji v Gorie Mahomed (1886)

People promised donations for building a town hall. The builder entered contracts relying on the promise. Held: the promise was **enforceable**.

Doctrine of Privity of Contract

1. Meaning

Privity of contract means only the **parties to a contract** can sue on it. A **stranger (third party)** cannot sue, even if the contract was made for his benefit.

2. Important Case Law

Tweddle v Atkinson (1861)

Two fathers agreed to pay money to the husband of their children. The husband sued. Held: he was a stranger to the contract and **could not sue**.

Dunlop Pneumatic Tyre Co. v Selfridge & Co. (1915)

Only a person who is a party to the contract can sue on it.

M.C. Chacko v State Bank of Travancore (1969, SC)

The Supreme Court applied the rule of privity in India.

3. Stranger to Consideration vs Stranger to Contract

Stranger to consideration	Stranger to contract
Consideration moved from him, but he may be a party	Not a party to the contract at all
Can sue in India (Chinnaya v Ramayya)	Cannot sue (Tweddle v Atkinson)

Exceptions to the Privity of Contract

A third party **can sue** in these situations:

1. **Beneficiary under a trust or charge** – *Khwaja Muhammad Khan v Husaini Begum (1910)*: a bride could enforce her father-in-law's promise of an allowance, because it was charged on property.
2. **Marriage settlement, partition or family arrangement** – a family member for whom provision is made can sue.
3. **Acknowledgement or estoppel** – where the promisor admits that he holds money for the third party.
4. **Assignment** – a person to whom contractual rights are assigned (e.g., buyer of a debt) can sue.
5. **Agency** – a principal can sue on a contract made by his agent.
6. **Covenants running with land** – *Tulk v Moxhay (1848)*: a buyer of land is bound by restrictions he knew of.
7. **Statutory exceptions** – e.g., a third-party victim of a motor accident can claim directly from the insurer (Motor Vehicles Act, 1988).

Latest example: Food ordered by a friend on Swiggy and delivered to you: though your friend made the contract, consumer law (Consumer Protection Act, 2019) treats you as a "consumer" because you use the goods with the buyer's approval. So consumer law softens privity.

Standard Form of Contract

1. Meaning

A **standard form contract** is a printed contract prepared by one party (usually a big company) and offered to the other on a "**take it or leave it**" basis. The weaker party has no chance to bargain.

Examples: insurance policies, bank loan forms, airline tickets, mobile app terms, builder-buyer agreements, credit card terms.

2. Problems

- The customer has **no bargaining power**.
- Terms are in **small print** and are rarely read.
- They often contain **exemption clauses** (the company is not liable) or one-sided penalty clauses.

3. Protection Given by Courts

1. **Reasonable notice** – terms must be brought to the notice of the customer before or at the time of the contract.
2. **Contra proferentem** – any doubt in the wording is read **against** the party who drafted it.
3. **Fundamental breach** – an exemption clause cannot protect a party who breaks the main purpose of the contract.
4. **Unconscionable terms** – terms that are grossly unfair are void as opposed to public policy (S. 23).
5. **Consumer Protection Act, 2019** – defines "**unfair contract**" (S. 2(46)); State and National Commissions can declare such terms void.

4. Important Case Law

Lily White v R. Munuswami (1966, Madras HC)

A laundry receipt limited liability to 50% of the value. Held: the clause was **against public policy** and the laundry had to pay the full value.

Central Inland Water Transport Corporation v Brojo Nath Ganguly (1986, SC)

A rule allowing a government company to terminate permanent employees on three months' notice was **unconscionable** and void.

Pioneer Urban Land & Infrastructure Ltd v Govindan Raghavan (2019, SC) – Latest

One-sided clauses in a builder-buyer agreement (very low interest for the buyer, high for the builder) are **unfair** and cannot bind the flat buyer.

IREO Grace Realtech v Abhishek Khanna (2021, SC) – Latest

The Court again held that **one-sided terms** in apartment buyer agreements are an unfair trade practice.

Latest example: Terms in some app-based loans that allow unlimited penalty charges or access to all phone contacts can be challenged as unfair contracts under the Consumer Protection Act, 2019.

Quick Revision – Tables and Latest Cases

Important Sections at a Glance

Section	Topic
2(a), 2(b)	Proposal, acceptance
2(d)	Consideration
2(h)	Contract
4-6	Communication, revocation, lapse of offer
7-8	Rules of acceptance
10	Essentials of a valid contract
11-12	Capacity; sound mind
13-22	Consent, free consent, coercion, undue influence, fraud, misrepresentation, mistake
23-30	Unlawful object; agreements declared void (restraint of marriage, trade, legal proceedings; uncertain; wagering)
31-36	Contingent contracts
37-39	Performance; tender; anticipatory breach
42-45	Joint promisors and promisees
55	Time as essence
56	Frustration
59-61	Appropriation of payments
62-63	Novation, rescission, alteration; remission
64-65	Restitution
68-72	Quasi contracts
73-75	Damages; penalty; compensation on rescission
SRA 5-8, 10-25, 26-42	Possession; specific performance; rectification, rescission, cancellation, declaration, injunctions

Important Comparisons

1. Void Agreement vs Voidable Contract vs Illegal Agreement

Point	Void	Voidable	Illegal
Legal effect	None	Valid until avoided	None
Collateral agreements	Valid	—	Also void
Punishment	No	No	Often yes
Example	Wager	Contract by fraud	Agreement to smuggle

2. Coercion vs Undue Influence

Coercion (S. 15)	Undue influence (S. 16)
Physical/criminal pressure	Mental/moral pressure
No relationship needed	Relationship of domination needed
By any person	By the dominant party
Voidable (S. 19)	Voidable; court may set aside on terms (S. 19A)

3. Frustration vs Breach

Frustration (S. 56)	Breach
No party at fault	One party at fault
Contract becomes void	Contract broken; innocent party discharged
No damages; only restitution (S. 65)	Damages (S. 73)

4. Specific Performance – Before and After 2018

Before 2018	After 2018
Discretionary	Rule (mandatory, subject to exceptions)
Refused if damages adequate	Adequacy of damages irrelevant
No substituted performance	S. 20 substituted performance

Latest Cases at a Glance

Year	Case	Point
2025	<i>Gayatri Balasamy v ISG Novasoft</i>	Limited power of courts to modify arbitral awards

Previous Year Questions and Answers

How to Write Answers in the Exam

1. Exam Pattern (OU LLB 3YDC)

- **Part A** – 5 short questions × 4 marks = 20 marks (answer all).
- **Part B** – 5 essay/problem questions × 10 marks = 50 marks (internal choice).
- Always check the pattern printed on your question paper.

2. Short Answer (4 marks) – about one page

1. Definition with section number.
2. Two or three key points.
3. One case law.
4. One example.

3. Essay Answer (10 marks) – about 3–4 pages

1. **Introduction** – definition and section.
2. **Main body** – essentials/kinds with sub-headings.
3. **Case laws** – one for each main point; add one latest case.
4. **Table** – for differences (it scores well).
5. **Conclusion** – one or two lines.

4. Problem Question – use the "FILAC" method

- **Facts** – two lines.
- **Issue** – what is to be decided.
- **Law** – section + case.
- **Application** – apply the law to the facts.
- **Conclusion** – a clear answer (Yes/No + remedy).

Short Answer Questions (4 Marks)

1. Valid Contract

A valid contract is an agreement enforceable by law (S. 2(h)). Under S. 10 it needs free consent, competent parties, lawful consideration and object, and must not be expressly void. Example: buying a phone online.

Case: *Balfour v Balfour* – domestic agreements are not contracts.

2. General Offer / Specific Offer

A specific offer is made to a definite person; a general offer is made to the public. A general offer is accepted by performing its conditions (S. 8). Case: *Carlill v Carbolic Smoke Ball Co.* Example: reward for finding a lost dog.

3. Invitation to Offer

It only invites offers; it is not an offer. Examples: display of goods, catalogue, tender notice. Case: *Pharmaceutical Society v Boots*.

4. Consideration

"Something in return" at the desire of the promisor (S. 2(d)). It may move from the promisee or any other person, may be past, present or future, and need not be adequate. Case: *Chinnaya v Ramayya*.

5. Privity of Contract

Only parties to a contract can sue on it. Case: *Tweddle v Atkinson*. Exceptions: trust, family arrangement, agency, assignment, acknowledgement.

6. Standard Form of Contract

A printed "take it or leave it" contract drafted by one party. Courts protect the weaker party through notice, contra proferentem and public policy. Case: *Pioneer Urban Land v Govindan Raghavan* (2019).

7. Cyber / E-contract

A contract made electronically is valid (S. 10A, IT Act, 2000). Acceptance is complete when received. Case: *Trimex International v Vedanta* (2010) – contract by e-mails.

8. Coercion

Committing or threatening an act forbidden by the Penal Code, or unlawfully detaining property, to make a person enter an agreement (S. 15). Contract voidable (S. 19). Case: *Chikham Amiraju v Chikham Seshamma*.

9. Undue Influence

Using a dominating position to gain an unfair advantage (S. 16). Presumed in relationships like doctor-patient, guru-disciple. Contract voidable (S. 19A). Case: *Mannu Singh v Umadat Pande*.

10. Free Consent

Consent not caused by coercion, undue influence, fraud, misrepresentation or mistake (S. 14). Absence makes the contract voidable (or void for mistake).

11. Immoral Agreements

Agreements whose object is immoral are void (S. 23). Immorality means sexual immorality. Cases: *Gherulal Parakh; Pearce v Brooks*.

12. Agreement in Restraint of Legal Proceedings

Void under S. 28. Exceptions: arbitration agreements; choosing one of several competent courts. Case: *A.B.C. Laminart v A.P. Agencies*.

13. Wagering Agreement

A bet on an uncertain event with no other interest; void (S. 30). Games of skill are not wagers. Latest: Online Gaming Act, 2025 bans online money games.

14. Contingent Contract

A contract dependent on a collateral event (S. 31), e.g., insurance. Enforceable only when the event happens (S. 32).

15. Void and Voidable Contract

Void = no legal effect. Voidable = enforceable at the option of one party (S. 2(i)). Table: see Unit II.

16. Accord and Satisfaction

Agreement to accept something different (accord) and giving it (satisfaction); the old claim ends. Case: *Boghara Polyfab* (2009).

17. Novation

Substituting a new contract for the old one (S. 62), with consent of all, before breach. Case: *Lata Construction* (2000).

18. Doctrine of Frustration

A contract becomes void when performance becomes impossible or unlawful after it is made (S. 56). Cases: *Taylor v Caldwell*; *Satyabrata Ghose*.

19. Anticipatory Breach

Refusal to perform before the due date (S. 39). The innocent party may rescind at once or wait. Case: *Hochster v De La Tour*.

20. Quasi Contract

Obligation imposed by law to prevent unjust enrichment (Ss. 68–72). Case: *State of W.B. v B.K. Mondal*.

21. Rights of Finder of Lost Goods

Finder is like a bailee (S. 71); has lien for expenses, may claim reward, may sell in certain cases (Ss. 168–169).

22. Quantum Meruit

"As much as earned" – reasonable payment for work done when the contract ends midway. Case: *Planche v Colburn*.

23. Kinds of Damages

Ordinary, special, nominal, exemplary. Rule: *Hadley v Baxendale*; S. 73.

24. Duty to Mitigate

The injured party must take reasonable steps to reduce loss (Explanation to S. 73). Case: *British Westinghouse*.

25. Rectification of Instruments

Correcting a written instrument that does not show the parties' real intention due to fraud or mutual mistake (S. 26).

26. Declaratory Decree

A court declaration of legal character or right to property (S. 34); barred if further relief is not claimed.

27. Preventive Relief / Injunctions

Relief by injunction (S. 36). Kinds: temporary, perpetual, mandatory, prohibitory.

28. Substituted Performance

Added in 2018 (S. 20). The aggrieved party gets the work done by a third party after 30 days' notice and recovers the cost.

Essay Questions (10 Marks) – Answer Guide**Q1. Define contract. Explain the essentials of a valid contract.**

Answer points: S. 2(h) definition → formula (offer + acceptance + enforceability) → ten essentials under S. 10 with a case each (*Balfour, Carlill, Mohori Bibee, Durga Prasad, Pearce v Brooks*) → kinds of contracts table → conclusion: absence of any essential makes the agreement void or voidable.

Q2. "Acceptance is to an offer what a lighted match is to a train of gunpowder." Explain.

Answer points: Meaning of acceptance (S. 2(b)) → rules of valid acceptance (S. 7) → the line means acceptance instantly creates a contract → communication rules (S. 4) → revocation of acceptance allowed before it reaches the offeror (S. 5), so in India the statement is only partly true → electronic contracts (S. 10A IT Act, *Bhagwandas Kedia*) → conclusion.

Q3. Discuss the law relating to communication of offer, acceptance and revocation.

Answer points: S. 4 table → S. 5 revocation rules with illustration → S. 6 modes of lapse → instantaneous communication → e-contracts → conclusion.

Q4. "No consideration, no contract." Explain with exceptions.

Answer points: S. 2(d) definition → seven salient features → S. 25 exceptions → *Chinnaya v Ramayya* → stranger to consideration vs stranger to contract.

Q5. Explain the doctrine of privity of contract and its exceptions.

Answer points: Rule + *Tweddle v Atkinson, Dunlop* → Indian position (*M.C. Chacko*) → seven exceptions with cases → consumer law softening the rule.

Q6. Discuss the effect of a minor's agreement.

Answer points: S. 11 → *Mohori Bibee* → ten rules (void, no ratification, no estoppel, restitution, necessities, beneficiary, agent, partner, guardian, tort) → modern example (EMI apps) → conclusion.

Q7. Explain free consent and the factors vitiating it.

Answer points: Ss. 13–14 → table of five factors and effects → one paragraph and case for each → conclusion.

Q8. What is fraud? Distinguish fraud and misrepresentation.

Answer points: S. 17 five acts → silence and its exceptions → essentials (*Derry v Peek*) → remedies → S. 18 → difference table → *Meghmala* (2010).

Q9. Explain agreements opposed to public policy / in restraint of trade.

Answer points: S. 23 → heads of public policy table → S. 27 rule and exception → *Golikari*, *Krishan Murgai*, *Percept D'Mark* → latest *Vijaya Bank* (2025).

Q10. "Impossibility of performance is a ground of discharge." Explain the doctrine of frustration.

Answer points: S. 56 three parts → English origin (*Taylor v Caldwell*, *Krell v Henry*) → *Satyabrata Ghose* → grounds and non-grounds → frustration vs force majeure → COVID cases → effect S. 65.

Q11. Define quasi contract. What are the obligations under it?

Answer points: Unjust enrichment → Ss. 68–72 each with example and case → quantum meruit → conclusion.

Q12. Explain remoteness of damages with reference to Hadley v Baxendale.

Answer points: S. 73 → facts and two rules of *Hadley* → *Victoria Laundry* → kinds of damages table → mitigation → S. 74.

Q13. Which contracts can and cannot be specifically enforced? Who can obtain specific performance?

Answer points: 2018 amendment table → S. 10 → S. 14 four cases → S. 15 list → S. 16 personal bars → *Katta Sujatha Reddy* (2022), *C.S. Venkatesh* (2020).

Q14. Distinguish temporary and perpetual injunctions; mandatory and prohibitory injunctions.

Answer points: S. 36–37 → two tables → three tests (*Dalpat Kumar*) → S. 39 (*Dorab Cawasji Warden*) → S. 41 refusal list → S. 42 negative agreements (*Lumley v Wagner*).

Problem Questions (10 Marks) with Answers

P1. A sold articles on credit to B, not knowing B was a minor. After B became major, A sued for the price. Will A succeed?

Issue: Is a minor liable on a credit sale made during minority?

Law: S. 11; *Mohori Bibee* – a minor's agreement is void; it cannot be ratified. S. 68 – only necessities can be recovered, and only from the minor's property.

Conclusion: A will not succeed, unless the articles were necessities; even then, he can recover only from B's property, not from B personally.

P2. A forced B at pistol point to sign a contract. B does not want to be bound. Remedy?

Pointing a pistol is criminal intimidation (BNS S. 351) → **coercion** under S. 15. The contract is **voidable** at B's option (S. 19). B may rescind it, recover anything paid (Ss. 64, 72), and seek cancellation of the document (SRA S. 31).

P3. Rajan paid ₹2 lakh to Saritha, a married woman, to obtain a divorce; she promised to marry him but refused. Can Rajan recover?

The object tends to break a marriage – **immoral and opposed to public policy** (S. 23). The agreement is void. Both parties are equally at fault (*in pari delicto*), so Rajan **cannot recover** the ₹2 lakh.

P4. Krishna owns a house; Jithen in possession claims ownership. Remedies?

1. Suit for **declaration** of title with **recovery of possession** (SRA Ss. 34 and 5) – a bare declaration is barred.
2. If dispossessed within 6 months without due process – summary suit under **S. 6**.
3. **Perpetual injunction** (S. 38) and mesne profits.

P5. A invites B to dinner; B hires a taxi; A cancels. Can B sue?

It is a **social agreement** with no intention to create legal relations (*Balfour v Balfour*). No contract. B **cannot** sue, not even for the taxi fare.

P6. A offered his car to B for ₹75,000; B offered ₹60,000; A did not reply; B later accepted ₹75,000; A refused. Decide.

B's ₹60,000 offer was a **counter offer** which ended A's original offer (*Hyde v Wrench*; S. 7). B's later "acceptance" is only a fresh offer, which A did not accept. **No contract**; B's suit fails.

P7. A executed a promissory note for ₹20,000 as a minor and renewed it after majority. Can B sue?

The original note was **void**; a void agreement cannot be ratified. The renewed note has **no fresh consideration** (past consideration during minority is no consideration). B **cannot** sue, unless fresh consideration was given at renewal.

P8. B paid ₹1 lakh to A for a promise to get B a government job. A failed. Can B recover?

Traffic in public offices is **opposed to public policy** (S. 23). The agreement is void, and both parties are at fault. Generally, B **cannot recover**.

P9. Das offered his farm for ₹80,000; Lal offered ₹75,000; later Lal agreed to ₹80,000; Das refused. Can Lal get specific performance?

Same principle as P6 – counter offer ended the original offer. There is **no concluded contract**, so there is nothing to specifically enforce. Lal **fails**.

P10. Arun falsely told Bhushan his house was free from encumbrances; it was mortgaged. Remedy?

This is **fraud** (S. 17(1)). The contract is **voidable** (S. 19). Bhushan may rescind and recover the price, or affirm and claim to be put in the promised position, and claim **damages** for deceit. The "ordinary diligence" defence does not apply to active fraud.

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